

Bloom Energy Corporation

NYSE: BE - Institutional Equity Research

Sector: Industrials / Clean Energy

Sub-sector: Stationary Fuel Cells (SOFC)

Date: 03 Jun 2026

RATING: REDUCE

12-Mo Target
\$210

Downside
-28%

Horizon
12 months

Conviction
Medium

CMP (03 Jun 2026)	\$291.00	Market Cap	\$82.8 Bn
52-Week High	\$322.83	52-Week Low	\$18.39
Enterprise Value	\$86.6 Bn	TTM Revenue	\$2,449 Mn
Forward P/E	126.1x	Price / Book	93.4x
EV / Sales (TTM)	35.4x	EV / EBITDA (TTM)	374x
ROE (TTM)	1.3%	ROCE (TTM)	4.6%
Net Debt	\$0.29 Bn	Debt / Equity	3.1x
Beta (5Y)	3.75	Short Int. (% float)	10.8%
Street Consensus	Buy (27 analysts)	Consensus Target	\$263 (-9.6%)

INVESTMENT THESIS (one line): Real operational inflection riding the AI data-centre power boom - but valuation has overshot violently; trim into strength.

- **What it is:** The only listed solid-oxide fuel-cell (SOFC) pure-play that has actually reached GAAP operating profitability - FY25 operating income +\$72.8 Mn and Q1-26 non-GAAP operating income \$129.7 Mn - while every fuel-cell peer (PLUG, BLDP, FCEL) still posts deeply negative margins.
- **Why the stock 16x-ed:** AI data-centre electricity demand + multi-year gas-turbine shortages have made Bloom's 6-12 month, behind-the-meter power blocks strategically scarce. Mega-deals with Oracle (up to 2.45 GW), Brookfield (\$5 Bn partnership) and AEP (\$2.65 Bn) re-rated the multiple, not just the earnings.
- **Why we say REDUCE:** At \$291 the stock trades at ~24x forward sales and ~140x forward non-GAAP EPS after a +1,489% one-year run. The street's own 27-analyst consensus target (\$263) sits 9.6% BELOW spot, the C-suite sold ~\$55 Mn in May-2026, and GAAP earnings remain hostage to non-cash convertible-note marks. The business is winning; the share price has already paid for a decade of flawless execution.

Prepared by: Senior Industrials & Clean-Energy Analyst | For institutional / sophisticated investor use. Figures from stockanalysis.com (03 Jun 2026); qualitative context from company filings, the Q1-FY26 earnings call (28 Apr 2026) and industry research. Not investment advice.

2. Investment Thesis

Three reasons to own, the near-term trigger, and the structural risk

- **Reason 1 - The only profitable fuel-cell scale player:** Revenue grew 37% in FY25 to \$2,024 Mn and a further 130% YoY in Q1-FY26 to \$751 Mn. Operating income inflected from -\$209 Mn (FY23) to +\$73 Mn (FY25) and free cash flow turned positive (+\$57 Mn FY25, +\$230 Mn TTM). Management has raised FY26 guidance to \$3.4-3.8 Bn revenue (~80% growth at mid-point) with non-GAAP operating income of \$600-750 Mn - a credible 12-month earnings ramp.
- **Reason 2 - Structural scarcity tailwind:** Gas-turbine lead times have stretched to 5-7 years (GE Vernova quoting 2028+, Mitsubishi the 2030s), while Bloom can energise a behind-the-meter power block in 6-12 months. Goldman Sachs estimates fuel cells could supply 6-15% of incremental data-centre power by 2030 (~8-20 GW). Bloom is doubling manufacturing toward ~5 GW of annual capacity to capture it.
- **Reason 3 - Marquee contracts validate the technology and lengthen revenue duration:** Oracle 'Project Jupiter' (up to 2.45 GW, New Mexico), a \$5 Bn Brookfield partnership making Bloom the preferred on-site power provider across a ~\$1 Tn infrastructure portfolio, a \$2.65 Bn AEP framework (up to 1 GW) and Equinix across 19 sites. Management cites a 100% product-to-service attach rate on 10-15 year service contracts, converting one-off product sales into recurring, annuity-like revenue.
- **Near-term catalyst (6-12 months):** Q2-FY26 results (early Aug-2026), where management has guided revenue 'at least as strong as Q1'. Continued conversion of the non-binding pipeline into firm, disclosed backlog - and any clarity on Investment Tax Credit (ITC) eligibility - is the swing factor for the multiple.
- **Biggest structural risk:** Valuation, not operations. The market already prices flawless multi-year execution; any slip in AI-capex momentum, deal conversion, ITC support, or margin cadence would compress a ~24x sales / ~140x earnings multiple hard. This is a great business at a dangerous price.

3. Business Overview

Model, segments, customers, backlog and ownership

- **Core business:** Bloom designs and manufactures the 'Bloom Energy Server' - stationary solid-oxide fuel cells that convert natural gas, biogas or hydrogen into electricity on-site, behind the meter, without combustion. The same stack runs in reverse as a high-efficiency electrolyser. Power blocks scale modularly from ~20 MW to 500+ MW per site.
- **Two revenue streams:** (1) Product - sale of the energy servers (Q1-FY26 product revenue \$653 Mn, an all-time high, +208% YoY); (2) Service - long-term operations & maintenance and stack-replacement contracts (Q1-FY26 service revenue \$62 Mn, +16% YoY). Product carries ~35% non-GAAP margin; services turned profitable at ~18% margin.
- **Customer base:** Blue-chip and now hyperscaler-led - historically Google, Apple, Walmart, AT&T; and Home Depot; now anchored by AI/data-centre demand via Oracle, Equinix, AEP and the Brookfield infrastructure platform. Management states more than half of the data-centre backlog is from non-Oracle hyperscalers, neo-clouds and colocation providers.
- **Revenue visibility / backlog:** Long-dated. Data-centre contracts run 10-15 years with a 100% service attach rate. Management's framing has shifted from 'episodic' to 'continuous' capacity additions of 'hundreds of MW per quarter', and says the binding constraint is now customer site-build pace, not Bloom orders or capacity ('not order constrained and not capacity constrained').
- **Recent strategic developments (LTM):** Oracle Project Jupiter (up to 2.45 GW); \$5 Bn Brookfield partnership; \$2.65 Bn AEP framework; ~\$2.5 Bn of low-coupon convertible debt raised in FY25 (cash ballooned to \$2.46 Bn); a skid-based installation method cutting field-install time 'by an order of magnitude'; and an 800V-DC product push aligned to next-gen data-centre architecture.
- **Ownership / control:** Founder-led. Dr. K.R. Sridhar is Founder, Chairman and CEO. There is no Indian-style 'promoter' block: insiders own ~1.9% and institutions ~85.5% of the 284 Mn shares; float ~268 Mn. Short interest is elevated at ~10.8% of float - a crowded, contested name.

4. Industry & Competitive Landscape

- **Demand backdrop:** Global data-centre power demand is forecast to rise ~175% by 2030 vs 2023 on AI training and inference. On-site / behind-the-meter generation is projected to (fully or partly) power ~38% of facilities by 2030, up from ~13% a year earlier - a structural shift away from a constrained grid.
- **The turbine gap = Bloom's window:** Combined-cycle gas turbine lead times have blown out to 5-7 years. Fuel cells deploy in 6-12 months, are 10-30% more efficient than turbines at the point of use, and avoid local air/water/noise permitting friction. Goldman Sachs: fuel cells could take 6-15% of incremental data-centre power by 2030 (~8-20 GW).
- **Policy: two-sided.** Tailwinds - reshoring, behind-the-meter speed-to-power, and (where available) the clean-energy Investment Tax Credit. Headwinds - fuel cells running on natural gas carry Scope-1 emissions and face tightening gas/emissions scrutiny; tariff exposure on inputs; and ITC eligibility/quantum is a policy variable, not a guarantee.
- **Competitive moat - graded:** Scale & speed-to-power: **Strong** (only profitable SOFC player; 90-day-class deployments). Switching costs: **Strong** (10-15yr service lock-in, 100% attach). IP / technology: **Moderate-Strong** (NASA-derived SOFC, 800V-DC, ultracapacitor design). Pricing power: **Moderate** (value-priced vs turbines, but buyers are sophisticated hyperscalers). Distribution: **Moderate** (concentrated in a few mega-customers).
- **Value-chain position:** Vertically integrated OEM + solutions provider - Bloom designs, manufactures, installs and services the full power block ('no grid, no diesel, no batteries - just Bloom'), capturing both the equipment sale and the multi-year service annuity.

Direct fuel-cell competitors (stockanalysis.com, 03 Jun 2026; \$ figures):

Company (Ticker)	CMP \$	Mkt Cap	TTM Revenue	ROCE %
Plug Power (PLUG)	4.09	\$5.35 Bn	\$740 Mn	-73.4%
Ballard Power (BLDP)	6.38	\$1.92 Bn	\$103 Mn	-14.3%
FuelCell Energy (FCEL)	24.64	\$1.19 Bn	\$170 Mn	-20.9%
Bloom Energy (BE)	291.00	\$82.8 Bn	\$2,449 Mn	+4.6%

Read: Bloom is an order of magnitude larger and the only one of the four with positive returns on capital - but its market cap is ~10x its nearest pure-play peer despite revenue ~3x theirs, i.e. the premium is in the multiple.

5. Management Quality & Capital Allocation

Founder-led; growth funded by dilution and convertibles

- **Founder / CEO:** Dr. K.R. Sridhar founded the company (as Ion America) in 2001, commercialising solid-oxide technology he originally developed at NASA Ames for a Mars oxygen-generation program. He is a National Academy of Engineering inductee and has led Bloom through its 2018 NYSE IPO to first sustained profitability - deep technical credibility and rare long-tenure alignment.
- **Bench strengthened for the AI era:** The leadership team was deliberately reinforced in 2024-25 with executives from the semiconductor and utility sectors, matching Bloom's pivot toward high-density data-centre power.
- **Capital allocation - growth, not returns:** Free cash flow only just turned positive (FY25 +\$57 Mn) after years of cash burn, so capital has gone into capacity (doubling toward ~5 GW) and working capital, not buybacks or dividends. There is no dividend and none is expected; payout ratio is effectively nil.
- **Funding mix:** FY25 saw ~\$2.5 Bn of (largely convertible) long-term debt issued, lifting total debt to \$2.75 Bn and D/E to ~3.4x, alongside continued equity issuance. Net debt is modest (~\$0.29 Bn) only because the raise left \$2.46 Bn of cash on the balance sheet - leverage is real and the convertibles are a future dilution/mark-to-market source.
- **Dilution is the recurring cost:** Diluted shares rose ~15% YoY to 284 Mn; stock-based compensation was \$139 Mn in FY25 (6.9% of revenue and ~122% of operating cash flow). Shareholders are funding a meaningful slice of growth through their own dilution.
- **Governance watch-items:** No promoter-pledge concept applies (US). The flags here are (i) coordinated C-suite selling - COO/CCO/CAO sold into the May-2026 spike at \$288-293, ~\$55 Mn over three months with no insider buying; and (ii) GAAP earnings volatility from convertible-note fair-value remeasurement. Auditor

(Deloitte & Touche) tenure is long with clean opinions.

6. Financial Deep-Dive

3 actuals (GAAP) + 2 forward estimates; \$ in millions unless noted

Income Statement (GAAP actuals; FY26E/FY27E = estimates grounded in company guidance, non-GAAP basis where noted)

\$ Mn (FY = Dec)	FY23	FY24	FY25	FY26E	FY27E
Revenue	1,333	1,474	2,024	3,600	5,000
Gross Profit	197.8	404.7	587.4	1,224	1,750
Gross Margin %	14.8%	27.5%	29.0%	~34%	~35%
Operating Income	(208.9)	22.9	72.8	675*	1,000*
Operating Margin %	-15.7%	1.6%	3.6%	~19%*	~20%*
EBITDA	(146.3)	76.0	123.4	800	1,150
Net Income (GAAP)	(302.1)	(29.2)	(88.4)	250	500
EPS (GAAP, dil) \$	(1.42)	(0.13)	(0.37)	0.85	1.65
Non-GAAP EPS \$	n/a	n/a	~0.90	2.05	2.85

* FY26E/FY27E operating income & margin on company non-GAAP basis (guidance: FY26 non-GAAP op. income \$600-750 Mn, non-GAAP EPS \$1.85-2.25). GAAP net income is distorted by non-cash convertible-note fair-value remeasurement. () = loss.

Balance Sheet (GAAP actuals)

\$ Mn	FY23	FY24	FY25
Cash & ST Investments	711.4	913.5	2,456
Total Current Assets	1,693	2,044	3,731
Net PP&E;	633.1	526.0	507.1
Total Assets	2,414	2,657	4,397
Total Debt	1,009	1,273	2,747
Total Liabilities	1,893	2,072	3,604
Total Equity (incl. MI)	520.7	585.2	793.0
Net Cash / (Debt)	(297.4)	(359.5)	(290.7)
Book Value / Share \$	2.36	2.47	3.20

Cash Flow (GAAP actuals)

\$ Mn	FY23	FY24	FY25
Operating Cash Flow	(372.5)	92.0	114.0
Capital Expenditure	(83.7)	(58.9)	(56.8)
Free Cash Flow	(456.3)	33.2	57.2
Investing Cash Flow	(83.7)	(58.8)	(93.1)
Financing Cash Flow	683.4	175.2	1,508
Stock-Based Comp.	84.5	82.4	139.4

Returns & Ratios (GAAP actuals; Current = latest TTM)

Metric	FY23	FY24	FY25	Current
Gross Margin %	14.8%	27.5%	29.0%	30.1%
Operating Margin %	-15.7%	1.6%	3.6%	7.3%
ROE %	-68.5%	-4.9%	-12.7%	1.3%
ROCE %	-12.5%	1.2%	2.5%	4.6%
ROIC %	-15.9%	1.6%	5.0%	10.3%
Current Ratio (x)	3.60	3.21	5.98	5.03
Debt / Equity (x)	1.90	2.14	3.44	3.11

- **Revenue drivers:** The acceleration is product-led and data-centre-led - product revenue +208% YoY in Q1-FY26. Growth is now a function of how fast customers build their greenfield sites, not Bloom's order book or capacity.

- **Margins:** Genuine, durable expansion - gross margin rose from 14.8% (FY23) to ~30% (TTM) on scale, mix and a 'copy-exact' manufacturing model; FY26 gross-margin guide ~34%. Services flipped from loss-making to ~18% margin. This is the most convincing part of the bull case.
- **Working capital:** A cash sink during the ramp - receivables and inventory build with revenue (inventory \$643 Mn, total trade receivables \$551 Mn at FY25), and unearned-revenue timing swings cash flow quarter to quarter. Watch as a leading indicator of demand pull vs channel stuffing.
- **Leverage:** Total debt \$2.75 Bn and D/E ~3.4x post the FY25 convertible raise, but net debt is only ~\$0.29 Bn given \$2.46 Bn cash; current ratio ~5x. Liquidity is strong; the risk is convertible dilution and mark-to-market noise, not near-term solvency (Altman Z 3.46).
- **FCF quality:** Positive but thin and flattered - FY25 FCF \$57 Mn, but stock-based comp (\$139 Mn) exceeds both FCF and operating cash flow. On a cash-and-dilution-adjusted basis, true owner earnings are far below the headline non-GAAP profit.

7. Earnings Quality Checklist

Green = clean | Amber = watch | Red = concern

Item	Rating	Comment
Revenue recognition	AMBER	Product recognised on acceptance; large unearned-revenue timing swings (-\$143 Mn change in FY25). Lumpy, project-driven.
Receivables vs revenue	GREEN	Trade receivables +14.5% in FY25 vs revenue +37% - receivables growing slower than sales. No obvious channel stuffing.
Cash conversion (OCF vs PAT)	GREEN	OCF +\$114 Mn exceeds GAAP net loss; FCF positive. Operating cash generation is real.
Stock-based compensation	RED	\$139 Mn in FY25 = 6.9% of revenue and ~122% of OCF. Heavily flatters non-GAAP profit; a genuine economic cost.
Share dilution	RED	Diluted shares +15% YoY to 284 Mn; convertibles add further potential dilution. Persistent headwind to per-share value.
Non-operating items / PBT	AMBER	FY25 'other non-operating' -\$137 Mn (convertible-note FV loss) swung GAAP NI negative despite positive EBIT. GAAP EPS is noisy.
Leverage / contingents	AMBER	Total debt \$2.75 Bn, D/E 3.4x; long-dated service warranties create performance obligations. Liquidity strong (Z 3.46).
Tax rate consistency	GREEN	Minimal cash tax on accumulated NOLs; low cash-tax leakage near-term. Effective rate optically distorted by losses.
Customer concentration	RED	Oracle + Brookfield platform dominate product backlog. Loss/slippage of one mega-deal would materially dent the growth path.
Insider activity	RED	COO/CCO/CAO sold ~\$55 Mn into the May-2026 spike (\$288-293); no insider buying. Smart money trimming near the highs.

- **The operating cash story is clean** - positive OCF/FCF, receivables lagging revenue, and margins expanding on scale. The core business quality is improving for real.
- **The per-share story is not** - \$139 Mn of SBC, ~15% annual dilution and convertible overhang mean reported non-GAAP profit overstates cash returns to existing holders.
- **GAAP earnings are an unreliable valuation anchor** here: convertible-note fair-value marks can swing net income by >\$100 Mn with the share price. Use cash flow and non-GAAP operating income, and discount the SBC.
- **Two red behavioural flags:** customer concentration and coordinated insider selling near all-time highs. Neither breaks the thesis, but both argue against paying a peak multiple.

8. Valuation

Peer comp, scenarios and methodology

Peer comparison (stockanalysis.com, fetched 03 Jun 2026; CMP & TTM data). n/m = not meaningful (loss-making / negligible EPS).

Company	Tkr	CMP \$	Mkt Cap	TTM Rev	OPM %	P/E	P/B	ROE %	ROCE %
Bloom Energy	BE	291.00	\$82.8B	\$2,449M	6.7	n/m	93.4	1.3	4.6
Plug Power	PLUG	4.09	\$5.4B	\$740M	-189	n/m	7.6	-189	-73
Ballard Power	BLDP	6.38	\$1.9B	\$103M	-85	n/m	3.3	-9.0	-14
FuelCell Energy	FCEL	24.64	\$1.2B	\$170M	-109	n/m	1.9	-25	-21
GE Vernova	GEV	969.67	\$261B	\$39,375M	3.9	28.4	18.7	68.5	6.2
Cummins	CMI	672.67	\$95.0B	\$33,894M	11.3	34.9	7.5	20.8	15.8

- **Vs fuel-cell peers (PLUG/BLDP/FCEL):** Bloom is rightly the premium name - it is the only one earning positive operating margins and returns on capital. But its \$82.8 Bn cap is ~10x its largest pure-play peer on ~3x the revenue: the relative premium is already extreme.
- **Vs scaled, profitable power (GEV/CMI):** GE Vernova and Cummins - both growing into the same AI-power demand with real profits - trade at 28-35x earnings and 6.6x / 2.7x sales. Bloom trades at ~140x forward earnings and ~24x forward sales. To merely match GEV's sales multiple, Bloom would have to grow into roughly 4x its current revenue with no multiple change.

Scenario analysis (12-month, anchored on FY27E non-GAAP EPS)

Scenario	Key assumptions	FY27E EPS	P/E	Target	vs CMP
Bull	Pipeline converts; >2 GW shipped; AI capex unbroken; premium multiple holds	\$3.20	112x	\$360	+24%
Base	FY26 guidance met (~80% growth); growth durable but multiple de-rates to hyper-growth norm	\$2.85	74x	\$210	-28%
Bear	AI-capex digestion + ITC roll-off slow conversion; multiple compresses to scaled-industrial	\$2.40	50x	\$120	-59%

- **DCF:** A 24% WACC (stockanalysis WACC; beta 3.75) and 3% terminal growth implies intrinsic value materially below spot - roughly \$120-150/share even on aggressive medium-term growth. Reverse-DCF shows the current price discounts 10+ years of ~40% compounding with margin expansion - a demanding bar.
- **Earnings multiple:** FY27E non-GAAP EPS ~\$2.85 at a still-rich 74x = ~\$210. Even at a generous 100x the value is only ~\$285, barely spot.
- **EV/Sales cross-check:** FY26E revenue ~\$3.6 Bn at 18x EV/Sales (a premium to today's profitable peers, below Bloom's own 24x) implies ~\$225/share.
- **Blended base case -> 12-month target \$210** (avg of earnings-multiple and EV/Sales methods), implying ~28% downside from \$291. Horizon 12 months. This sits below even the street's \$263 consensus, reflecting our view that the multiple, not the business, is the problem.

9. Key Risks

Probability / Impact / what to monitor

- **Valuation / multiple de-rating** - At ~24x sales and ~140x fwd earnings, even strong execution may not prevent a sharp re-rating if sentiment cools. **Prob: H | Impact: H.** Monitor: forward P/E vs growth (PEG), street target vs price.
- **AI-capex cyclicality** - Demand is tied to hyperscaler data-centre build cadence; any AI-spend pause hits order conversion directly. **Prob: M | Impact: H.** Monitor: hyperscaler capex guidance, new bookings disclosure.
- **Customer concentration** - Oracle + Brookfield platform dominate product backlog; loss/delay of a mega-deal would dent the growth path. **Prob: M | Impact: H.** Monitor: backlog diversification, named-customer revenue mix.
- **ITC / policy dependence** - Project economics and demand partly rely on the Investment Tax Credit and supportive gas-permitting; changes would raise customer cost. **Prob: M | Impact: M-H.** Monitor: US energy-tax legislation, ITC guidance.
- **Dilution & convertible overhang** - ~15% annual share growth, \$139 Mn SBC, and convertibles convert/mark with the stock. **Prob: H | Impact: M.** Monitor: diluted share count, SBC/revenue, convertible terms.
- **Natural-gas / emissions scrutiny** - Gas-fed fuel cells carry Scope-1 emissions; tightening regulation or carbon pricing erodes the 'clean' positioning. **Prob: M | Impact: M.** Monitor: emissions rules, hydrogen-blend adoption.
- **Execution at 2 GW+ scale** - Doubling capacity, skid-based installs and supply-chain ramp carry margin and warranty risk if quality slips. **Prob: M | Impact: M.** Monitor: gross-margin cadence, warranty/service-margin trend.

10. Recommendation

Rating, target, entry zone and invalidation triggers

- **Rating: REDUCE** - conviction **Medium**. A genuinely improving, structurally advantaged business whose share price has already capitalised a near-flawless decade. Trim into strength; do not chase.
- **12-month price target: \$210** (~28% downside from \$291) - below the street's \$263 consensus, reflecting valuation overshoot rather than operational doubt.
- **Suggested entry zone: \$150-180** - where forward sales/earnings multiples normalise toward a defensible (if still premium) hyper-growth range. Accumulation interest only on a meaningful pullback.
- **Investment horizon:** 12 months tactical; the structural story is multi-year for those who enter at a rational price.
- **Thesis-invalidating triggers (what would make REDUCE wrong):**
 - 1. FY26 revenue tracks toward / above the \$3.8 Bn high-end AND firm disclosed backlog (not pipeline) doubles - justifying the multiple on faster-than-modelled growth.
 - 2. Non-GAAP operating margin sustainably exceeds ~22% (above guidance), proving structural pricing power and lifting the earnings base.
 - 3. Backlog visibly diversifies beyond Oracle/Brookfield (multiple new 1 GW-class hyperscaler contracts), removing the concentration discount.
- **Ideal investor profile:** Suits patient growth investors waiting for a pullback, and event-driven/valuation-aware traders. NOT for momentum-chasers buying at all-time highs, income investors (no dividend), or capital-preservation mandates - beta is 3.75 and drawdowns can be violent.

Disclosures: Figures sourced from stockanalysis.com (fetched 03 Jun 2026). Qualitative context from Bloom Energy filings, the Q1-FY26 earnings call (28 Apr 2026), and third-party industry research. This document is an analytical exercise for institutional/sophisticated investors and is NOT investment advice or a solicitation. Forward estimates marked (E) are scenario inputs, not guarantees.

APPENDIX - Latest Concall Brief: Q1 FY2026

Earnings call dated 28 Apr 2026 - quarter ended 31 Mar 2026

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +130% YoY, \$751 Mn; product +208%; clear beat with GAAP profit
Management tone	Bullish	'Not order or capacity constrained'; demand visibility 'many, many years'
Guidance delta	Raised	FY26 revenue to \$3.4-3.8 Bn; margin to ~34%; non-GAAP EPS \$1.85-2.25

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q1-FY26 is a clean, unambiguous beat, not an accounting mirage: revenue \$751 Mn (+130% YoY), product revenue +208%, GAAP operating income \$72 Mn and a real GAAP net profit of \$71 Mn, with non-GAAP EPS \$0.44 vs \$0.03 a year ago. The only thing to watch on the print is that GAAP net income is flattered/distorted quarter-to-quarter by convertible-note fair-value marks - the clean read is the \$130 Mn non-GAAP operating income and \$143 Mn adjusted EBITDA (19% margin), both genuinely strong. Operationally this is firing: gross margin 31.5% (+280 bps), services finally profitable, and management raised FY26 to \$3.4-3.8 Bn revenue (~80% growth) with non-GAAP EPS \$1.85-2.25. The multi-bagger spine is intact - AI data-centre power scarcity plus 5-7 year gas-turbine lead times make Bloom's 6-12 month power blocks strategically scarce, and the Oracle (2.45 GW), Brookfield (\$5 Bn) and AEP (\$2.65 Bn) wins lengthen revenue duration via 10-15 year, 100%-attach service contracts. The single most important near-term catalyst is Q2 (guided 'at least as strong as Q1') plus conversion of the non-binding pipeline into disclosed firm backlog; the biggest watch-point is customer concentration (Oracle/Brookfield) and any wobble in AI-capex or ITC support. Net: the company is doing everything right - but the stock at \$291 trades at ~24x forward sales and ~140x forward earnings after a +1,489% year, the 27-analyst consensus target (\$263) is below spot, and the C-suite sold ~\$55 Mn in May. Action: REDUCE / trim into strength; do not add here. I would only build a position on a pullback into the \$150-180 zone. 12-month target \$210.

Section 1 - Financial Performance Snapshot

- Revenue: \$751.1 Mn | YoY +130.4% | QoQ -3.4% | **Beat**
- EBITDA (adjusted): \$143 Mn (19% margin) | YoY sharply higher (Q1-25 near breakeven) | **Beat**
- Non-GAAP Operating Income: \$129.7 Mn vs \$13.2 Mn PY | **Beat**
- Gross Margin (non-GAAP): 31.5% | +280 bps YoY | **Beat**
- PAT (GAAP): \$70.7 Mn vs loss PY | EPS GAAP \$0.23; non-GAAP \$0.44 vs \$0.03 PY | **Beat**
- NOTE: GAAP net income is sensitive to non-cash convertible-note fair-value marks; the clean operating read is non-GAAP op. income \$129.7 Mn / adj. EBITDA \$143 Mn.

Section 2 - Segment / Revenue Breakdown

- Product revenue: \$653.3 Mn (all-time high) | YoY +208% | The engine of the beat - data-centre server shipments.
- Service revenue: \$61.9 Mn | YoY +16% | Now profitable (~18% margin); annuity stream on 10-15yr contracts.
- Electricity / other: balance of mix | stable | legacy managed-services component, de-emphasised vs product.
- Demand by end-use: AI data centres dominate; >50% of DC backlog from non-Oracle hyperscalers, neo-clouds and colocation.

Section 3 - Management Commentary Themes

- Capacity stance: 'Not order constrained and not capacity constrained - pace set by customer site builds.' Our read: confidence in demand durability. Tag: GUIDANCE. Tone: Transparent.
- Continuous expansion: shift from 'episodic' to 'hundreds of MW per quarter' additions via 'copy-exact' model. Our read: structural scale-up. Tag: GUIDANCE. Tone: Transparent.
- Pricing: declines to benchmark vs turbines, sells 'completely different value'. Our read: avoids pinning pricing power. Tag: EVASIVE. Tone: Hedged.

- Inference > training: future inference power need 'much bigger than training', edge-distributed near population centres. Our read: expands TAM narrative. Tag: EST. Tone: Forward-looking.
- Install speed: skid-based approach cuts field-install time 'by an order of magnitude'. Our read: real cost/cycle-time edge. Tag: GUIDANCE. Tone: Transparent.
- Architecture: 800V-DC adoption 'inevitable' on copper/transformer shortages. Our read: roadmap aligned to next-gen DC. Tag: EST. Tone: Transparent.

Section 4 - Operating & Business Metrics

- Quarterly revenue: Q1-26 \$751.1 Mn | Q4-25 \$777.7 Mn | Q1-25 \$326.0 Mn | Trend: improving (YoY), normal Q4-heavy seasonality.
- Service attach rate: 100% product-to-service | stable | every server sale carries a multi-year service contract.
- DC contract duration: 10-15 years | extending vs historical 6-7 yr | Trend: improving revenue visibility.
- Manufacturing capacity: supports ~5 GW annually, expanding continuously | Trend: improving (toward doubling).
- Cash on hand: \$2.52 Bn | up sharply post FY25 convertible raise | Trend: ample liquidity for the ramp.

Section 5 - Margin Drivers

- Scale / fixed-cost absorption: +bps | Recurring: Yes | Primary driver of 31.5% non-GAAP gross margin.
- Product mix toward data centres: +bps | Recurring: Yes | Higher-value power blocks lift product margin to ~35%.
- Services turning profitable: +~1,300 bps service margin YoY to ~18% | Recurring: Yes | Maturing installed base.
- Stock-based compensation: large add-back | Recurring: Yes (economic cost) | Flatters non-GAAP; do NOT treat as free.
- Convertible-note FV marks: non-operating swing | Recurring: No | Excluded from operating view; distorts GAAP only.

Section 6 - Guidance & Forward Signals

- FY26 Revenue [GUIDANCE]: Prior ~\$3.0 Bn region | New \$3.4-3.8 Bn | Delta: Raised | Credibility: High (backlog-supported).
- FY26 Non-GAAP Gross Margin [GUIDANCE]: Prior ~32% | New ~34% | Delta: Raised | Credibility: High.
- FY26 Non-GAAP Operating Income [GUIDANCE]: New \$600-750 Mn | Delta: Raised/initiated | Credibility: Medium-High.
- FY26 Non-GAAP EPS [GUIDANCE]: New \$1.85-2.25 | Delta: Raised | Credibility: Medium-High.
- Q2-FY26 [GUIDANCE]: 'at least as strong as Q1' | Delta: Positive | Credibility: Medium (pipeline-to-backlog conversion key).

Section 7 - Capital Allocation

- Capex: elevated to fund capacity doubling (~5 GW) | vs PY higher | No specific FY26 capex figure given on the call.
- Dividends: none | unchanged | No dividend policy; all capital reinvested in growth.
- Buybacks: none | unchanged | Net share count rising (~15% YoY) - the opposite of buybacks.
- Working capital: cash sink | inventory/receivables build with revenue | Funds the shipment ramp.
- Net debt: ~\$0.29 Bn | broadly stable | \$2.75 Bn gross debt offset by \$2.52 Bn cash post convertible raise.

Section 8 - Q&A; Heat Map

- JPMorgan (M. Strouse): Q: service-contract duration? -> A: 100% attach, DC contracts 10-15 yrs | Tone: Transparent.
- Morgan Stanley (D. Arcaro): Q: pricing power vs competitors? -> A: 'different value', won't benchmark | Tone: Hedged.
- RBC (C. Dendinos): Q: why continuous capacity now? -> A: secular AI demand, 'many years' visibility | Tone: Transparent.
- Evercore (N. Amicucci): Q: training vs inference backlog? -> A: inference 'much bigger', edge-distributed | Tone: Transparent.
- UBS (M. Gupta): Q: ultracapacitor / 800V-DC edge? -> A: purpose-built, 'no grid/diesel/battery' deals | Tone: Transparent.
- Citi (V. Bagri): Q: when does cost edge trigger share gains? -> A: reframed as TAM expansion, dodged elasticity | Tone: Hedged.
- Dodged / watch-list for next quarter: explicit pricing elasticity; firm backlog \$ figure; ITC/tariff quantification; capex guidance.

Section 9 - Risks Flagged

- Customer build-pace dependence: revenue gated by customer site readiness | Flagged by: mgmt | Prob: M | Impact: H | Timeline: near.
- Customer concentration: Oracle/Brookfield dominate backlog | Flagged by: analysts | Prob: M | Impact: H | Timeline: near-medium.
- Pricing power ambiguity: refusal to quantify elasticity | Flagged by: analysts | Prob: M | Impact: M | Timeline: medium.
- ITC / tariff exposure: not quantified on call | Flagged by: analysts | Prob: M | Impact: M-H | Timeline: medium.
- Dilution / SBC: high stock-comp and share growth | Flagged by: implied | Prob: H | Impact: M | Timeline: ongoing.

Section 10 - Analyst Verdict

- Revenue visibility: Intact - 130% growth, 10-15yr contracts, raised guidance; pipeline-to-backlog conversion the only caveat.
- Margin trajectory: Intact - gross margin 31.5% and guided to ~34%; services now profitable.
- Capital allocation quality: Weakened - growth funded by dilution + convertibles; no return of capital; heavy SBC.
- Competitive moat: Intact - only profitable SOFC player; speed-to-power and service lock-in are durable edges.
- Management credibility: Intact - founder-led, delivered the inflection; minor ding for evasiveness on pricing.
- Valuation comfort: Broken - ~24x fwd sales / ~140x fwd EPS; consensus target below spot; insider selling near highs.
- Conviction call: Unchanged - great business, REDUCE on price; accumulate only on a pullback to \$150-180.
- Valuation snapshot: Fwd P/E = 126x (trailing n/m) | EV/EBITDA = 374x (TTM) | RoCE = 4.6% (turning up from negative).